

Expense Policy

TechNova Pvt. Ltd. — Internal Policy Document

Document Code	Version	Effective Date	Policy Owner
TN-FIN-103	1.9	01 April 2026	Finance Team

Purpose and Scope

This policy defines what TechNova Pvt. Ltd. will pay for as a business expense, the applicable spending limits, and the approvals required before spending Company money. It covers both direct Company spending (vendor payments, corporate cards) and expenses an employee pays for personally. For the process of claiming money back for a personal payment, see the Reimbursement Policy; for travel-specific limits, see the Travel Policy.

Spending Categories and Limits

Category	Typical Limit	Pre-Approval Needed?
Client meals	INR 2,500 per person	Manager approval if above limit
Team lunch/dinner (internal)	INR 1,200 per person, up to 4 times/quarter	Manager approval
Software subscriptions (individual tool)	INR 15,000/year	IT + Manager approval (see IT Policy)
Books, courses, certifications	Per Learning & Development budget (see Benefits Guide)	Manager approval
Office supplies (ad hoc)	INR 2,000 per purchase	Manager approval
Client gifts	INR 3,000 per recipient, festive season only	Function Head approval

These are typical limits for guidance; the authoritative, current limits are maintained on the HR Portal under "Finance → Expense Limits" and may be revised periodically by Finance.

Pre-Approval Requirements

- Any single expense expected to exceed INR 10,000 requires manager pre-approval via the "Spend Request" form before the money is committed, not after.
- New recurring subscriptions or vendor contracts require both manager and Finance sign-off, regardless of amount, to track ongoing commitments.
- Client entertainment above the standard per-person limit requires Function Head approval with a stated business reason.

- Procurement of equipment above INR 25,000 (e.g., specialised hardware) should go through Admin/IT procurement rather than individual purchase, for warranty and asset-tracking purposes.

Corporate Card Programme

Corporate cards are issued to employees in roles with regular client-facing or high-frequency spend (typically Sales, Customer Success, and Leadership), subject to Finance approval. Corporate card spend must stay within the category limits in this policy, and each transaction must be tagged with a business justification and receipt on the HR Portal within 7 days. Personal use of a corporate card is not permitted; repeated personal use may result in card withdrawal.

Procurement Process for Vendor Payments

- For a new vendor or one-time purchase above INR 25,000, raise a Purchase Request on the HR Portal with at least one comparative quote where practical.
- Purchases above INR 1,00,000 require two comparative quotes and Function Head approval; above INR 5,00,000 additionally requires Finance Controller approval.
- Finance issues a Purchase Order once approved; goods/services should not be procured before a Purchase Order is issued, except in a documented urgent-business-need case approved by Finance.
- Vendor invoices are paid by Finance directly against the Purchase Order, typically within 30 days of a correct invoice being received.

Team and Department Budgets

Each Function Head is allocated an annual discretionary budget for team events, tools, and small initiatives, tracked on the HR Portal "Finance → Team Budget" dashboard. Spending against this budget still follows the category limits and approval thresholds above; the budget simply confirms the funds exist within the team's plan, it does not replace the approval process.

Client and Business Entertainment

- Client meals and entertainment must have a genuine business purpose and should name the client/attendees and purpose when logged.
- Alcohol as part of client entertainment is permitted within the overall per-person limit, with manager approval, and only when appropriate to the client relationship and setting.
- Entertainment that is purely social with no client or business development purpose is not a reimbursable Company expense.

Software and Subscription Spend

All software purchases, including free-tier upgrades to paid plans, must go through IT for a security and licensing review before purchase, as described in the IT Policy. Finance separately tracks subscription cost against the category limit above and reviews all active subscriptions twice a year to identify unused or duplicate tools.

Non-Approved Spending

- Personal subscriptions, equipment, or services not connected to the employee's role.
- Gifts to colleagues (use the Recognition programme described in the Employee Handbook instead).
- Donations or sponsorships made on behalf of TechNova without Marketing/Leadership approval.
- Any spend split into smaller amounts specifically to avoid a pre-approval threshold.

Worked Examples

Situation	What to Do
You want to take a prospective client to dinner (INR 4,000/person).	Above the INR 2,500 per-person limit, so get manager approval in advance with the client's name and business purpose.
Your team wants to buy a INR 8,000 project-management tool subscription.	Route it through IT for review; since it is under INR 10,000 it does not need a separate Spend Request, but it still needs manager and IT sign-off.
You need a INR 40,000 specialised camera for a product demo.	Raise a Purchase Request with a comparative quote; this needs Function Head approval as it is above INR 25,000.
You want to buy a INR 1,50,000 server component for a proof-of-concept.	Needs two comparative quotes, Function Head approval, and goes through Admin/IT procurement, not personal purchase.

Audits and Policy Exceptions

Finance periodically reviews spend against this policy as part of standard financial controls. Any exception to a stated limit or approval threshold must be documented in writing (email or the Spend Request comment field) at the time of approval; verbal exceptions are not sufficient for audit purposes. Repeated or undocumented exceptions are raised with the approving manager and, where relevant, HR.

Budget Ownership and Accountability

Role	Responsibility
Employee	Spend within approved limits, use the correct category, provide a genuine business justification.
Manager	Approve Spend Requests, monitor team spend against budget, flag unusual patterns.
Function Head	Own the department budget, approve higher-value and entertainment exceptions.
Finance	Maintain category limits, process vendor payments, audit spend for policy compliance.

Petty Cash

Each office maintains a small petty cash fund with Admin for genuine incidental needs (e.g., local courier charges, minor stationery) under INR 500, where using the Expense Management system is impractical. Petty cash use is logged by Admin and reconciled monthly by Finance; it is not a substitute for the standard expense process for larger or recurring costs.

Currency and Multi-Entity Spend

All limits in this policy are stated in INR for spend within India. For TechNova entities or employees based outside India, equivalent local-currency limits are published on the HR Portal and approved by the local Finance lead in coordination with the central Finance team, to remain consistent with this policy’s intent.

Contact and Escalation

For questions on spending limits or approval thresholds, contact the Finance team at finance@technova.example. For urgent pre-approval needs outside standard turnaround, escalate to your Function Head directly.

Relationship to the Reimbursement Policy

This policy tells you what can be spent and how much; the Reimbursement Policy tells you how to get paid back once you have spent your own money on an approved business expense. Always check this policy for the category limit and any pre-approval needed before incurring the cost.

Frequently Asked Questions

Question	Answer
Do I need approval before spending on a client dinner?	Manager approval is needed if the spend is expected to exceed the per-person limit; otherwise, log it with the business justification when claiming.
Can I buy software directly with my corporate card?	No — route it through IT for a security and licensing review first, even if you have a card.
What if I need to spend above the category limit for a good reason?	Get Function Head approval in advance with a stated business reason before committing the spend.
Who approves vendor Purchase Orders?	Finance issues the PO once the appropriate approval level (manager, Function Head, or Finance Controller, based on amount) has signed off.

Document Revision History

Version	Date	Summary of Change
1.4	Apr 2022	Introduced corporate card programme.
1.7	Apr 2024	Added tiered procurement approval thresholds.
1.9	Apr 2026	Updated category limits and software review requirement.